



COME JANUARY 2025 an impressive line-up of cars will murmur off the starting line into Delhi's infamous winter smog. No high-decibel revving... They are electric vehicles to be launched by at least eight carmakers with plans to dominate the future. EVs accounted for just 2% of new cars sold in 2024. The market is big, and so is the competition.

First movers Tata Motors, JSW MG Motor and Mahindra & Mahindra (M&M) will see the likes of Maruti Suzuki, India's largest passenger carmaker, join the race, with Hyundai Motor and Kia India, units of South Korea's Hyundai group, and China's BYD, one of the world's leading EV carmakers. The EV lure has even brought back Ford Motor of the US, which had exited making fossil-fuel cars in India in 2022 but came back in 2024—with EV export plans.

Pawan Goenka, Chairman of IN-SPACe, an agency the government created to encourage private sector participation in the space programme, says the consumer will be spoilt for choice, and the charging infrastructure will no longer have an excuse not to grow.

Goenka, a veteran of the automobile industry with long stints at the research division of General Motors, US, and later at M&M, which he steered as MD and CEO, says, "Limited EV options for consumers and the high cost of EVs despite government incentives will no longer be excuses."

44 |



SHAILESH CHANDRA
MD, TATA MOTORS
PASSENGER
VEHICLES AND TATA
MOTORS PASSENGER
ELECTRIC MOBILITY

"Lithium-ion cell prices are just one of the factors for achieving price parity... localisation, PLI, policy support, widespread charging infra and lower taxes will make EVs more affordable"

Carmakers must address car buyers' concerns about resale value, financing, and charging infrastructure and make budget-friendly models.

A PRICE GAP TOO WIDE?

Nitin Gadkari, Union Minister of Road Transport and Highways, said at a September event of automobile component makers that he expects EVs to become affordable in the next two to three years and prices to come down to comparable ICE or internal combustion engines. Gadkari, known for his tough stance against petrol and diesel vehicles, said India's automobile industry, the world's third-largest after the US and China, can bring down EV prices as lithium-ion cells are becoming cheaper globally.

According to the International Energy Association (IEA), lithium-ion battery prices declined from \$1,400 per kilowatt hour (kWh) in 2010 to \$130 per kWh in 2023. At present, prices are hovering between \$130-\$140 per kWh. In FY24, domestic retail sales of EVs surged by 91%, from 47,551 units in 2022-23 to 90,996 units in 2023-24, according to the Federation of Automobile Dealers Associations (FADA).

Rajeev Chaba, CEO Emeritus, JSW MG Motor India, says prices of lithium-ion cells are depressed but cautions that the prices are cyclical.

Harshvardhan Sharma, Head-Auto Retail Practice at Nomura Research Institute, says price parity is still some years away, especially in cars priced below ₹10 lakh, where the volumes are, although battery prices have fallen.

The tax regime is also helping EVs, says Saket Mehra, Partner, Grant Thornton Bharat. GST on EVs is 5%, and on ICE cars is 28%. "Decline in lithium-ion prices, coupled with lower GST on EVs, would reduce the price differential between EV and ICE vehicles. This isn't visible much in cars priced at around ₹10 lakh, but as cars get around ₹15-25 lakh, the GST difference grows linearly while the battery cost difference relative to vehicle price shrinks," says Mehra.

MAKING BATTERIES AFFORDABLE

Lithium-ion cell prices are just one of the factors for achieving price parity. Several others including localisation, PLI and other incentives, widespread charging infra and lower taxes will make EVs more affordable and accessible compact, says Shailesh Chandra, MD, Tata Motors Passenger Vehicles and Tata Motors Passenger Electric Mobility.